

Sub-Mission on Agricultural Mechanization (SMAM)

Detailed Scheme Information Summary

Important source note

The latest official document located is “SMAM Operational Guidelines – 2025”, issued by the Department of Agriculture & Farmers Welfare, Ministry of Agriculture & Farmers Welfare. An official 2024 PDF is also available. This prepared document explains the scheme in detail but is not itself an official Government notification. For exact subsidy ceilings, machinery-wise rates and current application rules, consult the latest official guidelines and State Agriculture Department.

1. Scheme overview

SMAM is a Government of India agricultural mechanization programme implemented under the umbrella of PM-Rashtriya Krishi Vikas Yojana (PM-RKVY). It seeks to increase access to farm machinery, especially for small and marginal farmers and regions with low farm power availability.

2. Core objectives

- Increase the reach of farm mechanization to small and marginal farmers.
- Promote Custom Hiring Centres (CHCs) so farmers can rent machinery instead of purchasing expensive equipment.
- Establish Village-level Farm Machinery Banks (FMBs).
- Promote training, demonstrations, testing and certification.
- Improve productivity, timeliness, safety and reduce drudgery.
- Support post-harvest mechanization, crop-residue management and Kisan Drones.
- Give targeted support to women, SC/ST farmers, small and marginal farmers and underserved regions.

3. Major components

- A. Financial assistance for purchase of farm machinery and equipment on individual ownership basis.
- B. Establishment of Custom Hiring Centres.
- C. Establishment of Village-level Farm Machinery Banks.
- D. Promotion of mechanization in North-Eastern, Himalayan regions and Union Territories.
- E. Financial assistance for mechanized operations.
- F. Model villages of farm mechanization.
- G. Demonstration of agricultural, horticultural, crop-residue-management and post-harvest machines and Kisan Drones.
- H. Skilling and capacity building.
- I. Testing and performance evaluation of agricultural machinery.
- J. Promotion of grassroots innovations.

4. Individual machinery subsidy

Eligible farmers may receive financial assistance for approved agricultural machinery and implements. The exact percentage and maximum permissible subsidy depend on the machine, beneficiary category, State/UT norms and the latest Annexure on Pattern of Assistance. Public summaries commonly describe assistance of 40% for general beneficiaries and 50% for SC/ST farmers, small and marginal farmers, women and certain priority regions; the machinery-wise ceiling must always be checked in the current guideline.

5. Custom Hiring Centres (CHCs)

CHCs make agricultural machines available on a rental basis. They are intended to solve the problem of high purchase cost and small landholdings. A CHC proposal normally requires a cluster/location assessment, list of machines, project cost, service area, expected demand, operator/training plan, maintenance plan, rental rates and financial viability. Eligible entrepreneurs, societies, groups, cooperatives and other approved entities may

participate according to State rules.

6. Farm Machinery Banks (FMBs)

Village-level Farm Machinery Banks are intended to provide shared access to machinery, particularly in areas where individual ownership is uneconomic. They may be organised through farmer groups, cooperatives, Self Help Groups, FPOs, Panchayats or other eligible institutions, subject to the applicable State guidelines.

7. Priority beneficiaries

The scheme gives attention to small and marginal farmers, women farmers, SC/ST farmers, farmers in low-mechanization areas, North-Eastern and Himalayan regions, Union Territories and other disadvantaged groups. State annual action plans may earmark funds or set priorities.

8. Training and demonstrations

Training may cover operation, maintenance, safe use, calibration, post-harvest management, crop-residue management and Kisan Drone operations. Demonstrations allow farmers to observe machines in actual field conditions before adoption. Training institutions may include Farm Machinery Training & Testing Institutes and other approved institutions.

9. Testing and certification

Agricultural machines may be tested at designated or approved testing institutions for performance, safety, quality and suitability. Testing and certification help ensure that subsidised or promoted machinery meets prescribed technical standards.

10. Kisan Drones and emerging technology

SMAM supports demonstrations and skilling related to Kisan Drones and precision agriculture. The purpose is to improve awareness and adoption of technology for crop monitoring, spraying and other approved agricultural uses. Drone use must comply with applicable aviation, safety and agricultural regulations.

11. Post-harvest and residue management

The scheme supports mechanization beyond field preparation and harvesting, including handling, processing, storage-related operations, value addition and crop-residue management. Such support can reduce losses, labour requirements and burning-related problems.

12. Annual Action Plan and fund flow

States/UTs prepare Annual Action Plans identifying beneficiaries, machinery, CHCs, FMBs, demonstrations, training and financial requirements. Proposals are assessed and approved through the prescribed administrative mechanism. Funds and benefits are released according to approved plans, financial rules, procurement procedures and DBT or other authorised mechanisms.

13. Application process for farmers

1. Contact the State Agriculture Department, District Agriculture Office or official farm mechanization portal.
2. Check the current machinery list, beneficiary category and subsidy ceiling.
3. Register on the prescribed portal, if required.
4. Submit identity, land/farmer and bank details.
5. Obtain approval or permission before purchase where required.
6. Purchase from an approved dealer and submit invoice, machine details and inspection documents.
7. Complete physical verification and receive eligible assistance through the prescribed payment mechanism.

14. Application process for CHC/FMB

Prepare a detailed project proposal with applicant details, legal status, location, farmer coverage, machinery list, quotations, cost, financing pattern, service/rental plan, operator details, maintenance arrangements and expected outcomes. Submit through the State's prescribed process and complete inspection, approval and monitoring requirements.

15. Common documents

Aadhaar/identity proof, bank account and IFSC, residence proof, farmer registration, land or cultivation proof where required, caste certificate for category benefit, women/farmer-group documents where applicable, quotations, invoice, machine serial number, project report for CHC/FMB, photographs and other State-prescribed forms.

16. Important cautions

Subsidy is not automatically available for every machine or every applicant. Do not purchase before obtaining required approval. Rates, ceilings, eligible categories, vendor requirements, portal dates and documents can change. State-level implementation may differ from another State.

17. Official documents and websites

Official SMAM 2024 Guidelines PDF: https://agrimachinery.nic.in/Files/Guidelines/Guidelines_SMAM2024.pdf

Official SMAM 2025 Guidelines PDF: <https://agriculture.hp.gov.in/wp-content/uploads/2026/02/SMAM-Revised-Operational-Guidelines-dated-18-12-2025.pdf>

Agricultural Mechanization portal: <https://agrimachinery.nic.in/>

National Portal of India scheme page: <https://www.india.gov.in/category/agriculture-rural-environment/subcategory/resources-for-agriculture/details/guidelines-of-sub-mission-on-agricultural-mechanization>

18. Disclaimer

This summary is prepared for educational and government-scheme website-project use. It does not replace the latest official SMAM operational guidelines. Verify current subsidy percentages, maximum permissible amounts, machinery eligibility, beneficiary categories and application procedures from the official Ministry/State portal before publishing or applying.